

Contents

1	General Management	2
1.1	Management Science	2
1.1.1	1. Fund Flows, Liquidity, and Asset Prices	2
1.1.2	2. Racial Inequality and Bureaucracy in U.S. Manufacturing	2
1.1.3	3. Insufficient Sleep and Intraday Financial Decision Making	3
1.1.4	4. Liquidity Support in Financial Institutions	3
1.1.5	5. Crypto Value, Factor Pricing, and Market Segmentation	4
1.1.6	6. Dynamic Collusion, Vertical Competition, and Systematic Risk	4
1.1.7	7. Directors' Incentives from Potential Penalties: Evidence from Their Voting . .	5
1.1.8	8. Deep Parametric Portfolio Policies	5
1.1.9	9. Selecting and Testing Asset-Pricing Models: A Stepwise Approach	6
1.1.10	10. The Tragedy of Complexity	6

General Management

Management Science

1. Fund Flows, Liquidity, and Asset Prices

Authors: Minsoo Kim

DOI: [10.1287/mnsc.2025.01690](https://doi.org/10.1287/mnsc.2025.01690)

Department: Finance

Published: 2026-06-11

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Corporate Bonds
- **Theories:** Liquidity Risk, Redemption-driven Forced Sales, Risk Premium

Abstract:

Unexpected fund flows may force mutual funds to liquidate assets, thereby depressing demand for securities that become illiquid during outflows. This paper shows that the liquidity beta on flows—defined as the comovement of a security's liquidity costs with aggregate fund flow shocks—earns a significant risk premium in corporate bonds using firm-month fixed effects and a granular instrumental variables approach. The liquidity beta varies substantially even among bonds issued by the same firm and is largely driven by the interaction between redemption-driven forced sales and bond-level illiquidity. These findings highlight how fund flow shocks amplify liquidity risk through mutual funds' forced sales, shaping the cross section of expected corporate bond returns. This paper was accepted by Lukas Schmid, finance. Funding: This work was supported by the University of Melbourne and London Business School. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.01690>.

□ Kim - Fund Flows, Liquidity, and Asset Prices.pdf

2. Racial Inequality and Bureaucracy in U.S. Manufacturing

Authors: Dylan K. Nelson, Nathan Wilmers

DOI: [10.1287/mnsc.2023.02358](https://doi.org/10.1287/mnsc.2023.02358)

Department: Organizations

Published: 2026-06-10

Fields & Theories:

- **Fields:** Organizational Theory, Strategic Human Capital, Sociology of Work
- **Theories:** Bureaucracy, Worker Sorting Mechanism, Institutional Theory

Abstract:

How does bureaucracy affect racial inequality? Prior research finds that bureaucratization can institutionalize racial inequality but also that insufficient bureaucracy creates opportunities for discrimination. In this project, we propose a third mechanism (differential worker sorting) through which bureaucratic work environments affect inequality. To clarify these perspectives, we contrast worker-protective features of bureaucracy, like fixed pay and seniority protections, to performance-oriented features, which structure production targets and often incorporate high-powered incentives. We study Black-White earnings inequality by matching a large survey of U.S. manufacturing workplaces to employer-employee linked data. Bureaucratic workplaces pay relatively more to Black workers than do nonbureaucratic workplaces. These benefits are strongest for college-educated Black workers and are concentrated in firms with structured target setting rather than those with high-powered incentives or worker protections per se. Moreover, increased pay for Black workers stems mainly from bureaucratic workplaces selecting for relatively higher-skilled Black workers. These findings suggest that bureaucratic employers attract high-performing Black workers not by paying them more relative to White workers but by providing a formalized production context that supports clear performance targets. This paper was accepted by Isabel Fernandez-Mateo, organizations. Funding: This research uses data from the Census Bureau's Longitudinal Employer-Household Dynamics Program, which was partially supported by the National Science Foundation [Grants SES-9978093, SES-0339191, and ITR-0427889], the National

Institute on Aging [Grant AG018854], and grants from the Alfred P. Sloan Foundation. Any views expressed are those of the authors and not those of the U.S. Census Bureau. The Census Bureau has reviewed this data product to ensure appropriate access, use, and disclosure avoidance protection of the confidential source data used to produce this product. This research was performed at a Federal Statistical Research Data Center [Project Number 2176: Grants CBDRB-FY23-P2176-R10549 and CBDRB-FY24-P2176-R11457]. Funding support was provided by the Massachusetts Institute of Technology (MIT) Future of Work Initiative and the MIT Sloan School of Management. Supplemental Material: The online appendices and data files are available at <https://doi.org/10.1287/mnsc.2023.02358>.

□ Nelson - Racial Inequality and Bureaucracy in U.S. Manufacturing.pdf

3. Insufficient Sleep and Intraday Financial Decision Making

Authors: Paul G. Freed

DOI: [10.1287/mnsc.2023.04031](https://doi.org/10.1287/mnsc.2023.04031)

Department: Finance

Published: 2026-06-09

Fields & Theories:

- **Fields:** Finance, Behavioral Finance, Household Finance
- **Theories:** Heuristic Thinking, Behavioral Decision Theory, Risk Aversion

Abstract:

Using online lending microdata, I show that sleep has important consequences for household financial outcomes. Insufficient sleep raises default risk, particularly for loan applications made in the morning when the effects of a lack of sleep are strongest. For identification, I apply a spatial regression discontinuity design leveraging exogenous discontinuities in sunset time across time zone boundaries, supplemented by analyses utilizing daylight savings time shifts. The results suggest that a behavioral mechanism behind this effect is increased levels of heuristic thinking in the application process, signaling a lack of deliberation in acquiring additional credit under the conditions of poor sleep. These findings are consistent with laboratory studies demonstrating that sleep loss is associated with lower risk aversion and impulsivity. Overall, this study provides the first evidence of the impact of insufficient sleep on household behavior and welfare in credit markets. This paper was accepted by *Camelia Kuhnen, finance*. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.04031>.

□ Freed - Insufficient Sleep and Intraday Financial Decision Making.pdf

4. Liquidity Support in Financial Institutions

Authors: Falko Fecht, Egemen Genc, Yigitcan Karabulut, Patrick Weber

DOI: [10.1287/mnsc.2024.05036](https://doi.org/10.1287/mnsc.2024.05036)

Department: Finance

Published: 2026-06-08

Fields & Theories:

- **Fields:** Finance, Financial Institutions, Asset Management
- **Theories:** Coordination Mechanism, Liquidity Support, Direct Flow Channel

Abstract:

We document a novel support mechanism in financial institutions—the direct flow channel—through which banks coordinate client investments to stabilize affiliated mutual funds facing severe redemptions. Inflows from banks' retail and institutional clients offset a sizable share of outflows, mitigating adverse performance effects, forced sales, and redemption spillovers. Support via the direct flow channel is liquidity driven, concentrated in fragile but viable funds, and most pronounced when cash and family support are insufficient, while complementing credit lines when they are available. Importantly, we find no evidence that bank clients incur systematic costs, underscoring the stabilizing role of banks as coordination devices. This paper was ac-

□ Fecht - Liquidity Support in Financial Institutions.pdf

5. Crypto Value, Factor Pricing, and Market Segmentation

Authors: Lin William Cong, G. Andrew Karolyi, Ke Tang, Weiyi Zhao

DOI: [10.1287/mnsc.2024.05875](https://doi.org/10.1287/mnsc.2024.05875)

Department: Finance

Published: 2026-06-05

Fields & Theories:

- **Fields:** Finance, Asset Pricing, FinTech, International Business
- **Theories:** Factor Pricing Model, Market Segmentation, Value Premium

Abstract:

In the largest data set of crypto assets to date, we uncover a significant value effect based on the active-addresses-to-market-cap ratio. The corresponding novel value factor, together with the crypto market, size, and momentum factors adapted to our sample, forms a four-factor model that explains the cross-sectional return variations better than existing benchmarks. We show that the crypto value premium is plausibly driven by compensation for on-chain activity risk. We also provide the first comprehensive classification of major cryptocurrencies based on their economic functionality. Applying methodologies from international asset pricing, we document significant market segmentation across the token categories, with nonmonotone dynamics and implications for crypto investment strategy and regulation. This paper was accepted by Christoph Loch, finance. Conflict of Interest Statement: L. W. Cong serves as a senior economist and senior economic advisor to Chainlink Labs; G. A. Karolyi serves as an ad hoc consultant to Avantis Investors. Funding: K. Tang's work was supported by the National Natural Science Foundation of China [Grants 72192802, 72342008]. W. Zhao's work was supported by the National Natural Science Foundation of China [Grant 72503258], the China Postdoctoral Science Foundation [Grant 2025M773717], and the Innovation and Talent Base for Digital Technology and Finance [Grant B21038]. L. W. Cong's work was supported by the Ripple University Blockchain Research Initiative. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05875>.

□ Cong - Crypto Value, Factor Pricing, and Market Segmentation.pdf

6. Dynamic Collusion, Vertical Competition, and Systematic Risk

Authors: Guoman She, K. C. John Wei, Haifeng You

DOI: [10.1287/mnsc.2024.04715](https://doi.org/10.1287/mnsc.2024.04715)

Department: Finance

Published: 2026-06-03

Fields & Theories:

- **Fields:** Strategic Management, Industrial Organization, Finance
- **Theories:** Industrial Organization Economics, Vertical Competition, Systematic Risk Theory

Abstract:

This paper empirically investigates how exposures of an industry's cash flows and stock returns to discount rate shocks are affected by the market concentration of its upstream and downstream industries. In the cross-section of U.S. industries, we find that industries' cash flows and stock returns are more negatively exposed to fluctuations in the aggregate discount rate if their upstream or downstream industries are more concentrated. These industries also have higher expected stock returns and costs of capital. Our study highlights the role of vertical competition in determining firm risk exposure and expected returns. This paper was accepted by Lukas Schmid, finance. Funding: K. C. J. Wei received partial financial support from the Research Grants Council of the Hong Kong Special Administrative Region, China [Project 15510222]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.04715>.

7. Directors' Incentives from Potential Penalties: Evidence from Their Voting

Authors: Wenzhi (Dave) Ding, Chen Lin, Thomas Schmid, Michael S. Weisbach

DOI: [10.1287/mnsc.2024.06141](https://doi.org/10.1287/mnsc.2024.06141)

Department: Finance

Published: 2026-06-03

Fields & Theories:

- **Fields:** Corporate Governance, Strategic Management, Organizational Behavior
- **Theories:** Agency Theory, Social Network Theory, Saliency Theory

Abstract:

What makes independent directors perform their duty? One possible reason is that they are concerned about being punished if they do not fulfill their duties diligently. Using unique features of the Chinese capital market, we estimate the extent to which independent directors' subjective perceptions of penalty risk affect their voting on proposals. Our results suggest that they are more likely to vote against management after observing how another director in their board network received a regulatory penalty related to negligence. This effect is long lasting and stronger if the observing and penalized directors share personal characteristics and if the observing director is at a firm that is more likely to be penalized. These results provide novel evidence suggesting that the salience of penalty risk is an important factor motivating directors, which provides regulators with a powerful and cost-effective tool to improve firms' governance. This paper was accepted by Kay Giesecke, finance. Funding: C. Lin acknowledges financial support from the National Social Science Fund of China Major Project [Grant 24&ZD094]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06141>.

□ Ding - Directors' Incentives from Potential Penalties Evidence from Their Voting.pdf

8. Deep Parametric Portfolio Policies

Authors: Frederik Simon, Sebastian Weibels, Tom Zimmermann

DOI: [10.1287/mnsc.2025.00721](https://doi.org/10.1287/mnsc.2025.00721)

Department: Finance

Published: 2026-06-03

Fields & Theories:

- **Fields:** Finance, Management Science, Financial Technology
- **Theories:** Modern Portfolio Theory, Utility Theory, Economic Regularization

Abstract:

We consider parametric portfolio policies of any complexity using deep neural networks to optimize investor utility. Risk aversion acts as an economic regularization mechanism, with higher risk aversion constraining model complexity. Empirically, Deep Parametric Portfolio Policies generate 43-102 basis points higher monthly certainty equivalent returns compared with linear policies. Looking beyond expected returns, nonlinear portfolio policies better capture the complex relationship between investor preferences and firm characteristics but the benefits of using complex models vary with investor preferences. Results hold across different utility functions and remain robust to transaction costs and short-selling restrictions. Overall, economic regularization constrains model complexity much like statistical regularization but emerges endogenously from investor preferences. History: Accepted by Kay Giesecke, finance. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2025.00721>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.00721>.

9. Selecting and Testing Asset-Pricing Models: A Stepwise Approach

Authors: Guan hao Feng, Wei Lan, Hansheng Wang, Jun Zhang

DOI: [10.1287/mnsc.2024.07804](https://doi.org/10.1287/mnsc.2024.07804)

Department: Finance

Published: 2026-06-02

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Management Science
- **Theories:** Capital Asset Pricing Model, Factor Models, Asset-Pricing Duality

Abstract:

The asset-pricing literature emphasizes factor models that minimize pricing errors but overlooks unselected candidate factors that could enhance the performance of test assets. This paper proposes a framework for factor model selection and testing by (i) selecting the optimal model that spans the joint efficient frontier of test assets and all candidate factors and (ii) testing pricing performance on both test assets and unselected candidate factors. Our framework updates a baseline model (e.g., capital asset-pricing model) sequentially by adding or removing factors based on asset-pricing tests. Ensuring model selection consistency, our framework utilizes the asset-pricing duality; minimizing cross-sectionally unexplained pricing errors aligns with maximizing the Sharpe ratio of the selected factor model. Empirical evidence shows that workhorse factor models fail asset-pricing tests, whereas our proposed eight-factor model is not rejected and exhibits robust out-of-sample performance. This paper was accepted by *Lukas Schmid*, finance. Funding: G. Feng acknowledges financial support from the Hong Kong Research Grants Council [Grant GRF11502023] and the National Natural Science Foundation of China [Grant 72203190]. G. Feng is partially supported by the InnoHK Initiative of the Innovation and Technology Commission of the Hong Kong SAR and the Laboratory for AI-Powered Financial Technologies. The research of W. Lan was supported by the National Key R&D Program of China [Grant 2022YFA1003702]; the National Natural Science Foundation of China [Grants 72422020, 72333001, and 12531011]; and the Joint Lab of Data Science and Business Intelligence at Southwestern University of Finance and Economics. The research of H. Wang was partially supported by the National Natural Science Foundation of China [Grants 72495123 and 12271012]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07804>.

□ Feng - Selecting and Testing Asset-Pricing Models A Stepwise Approach.pdf

10. The Tragedy of Complexity

Authors: Martin Oehmke, Adam Zawadowski

DOI: [10.1287/mnsc.2024.08215](https://doi.org/10.1287/mnsc.2024.08215)

Department: Finance

Published: 2026-06-01

Fields & Theories:

- **Fields:** Organizational Theory, Strategic Management, Behavioral Economics
- **Theories:** Attention-Based View, Information Processing Theory, Complexity Theory

Abstract:

Complexity can create value. At the same time, understanding more complex goods requires more of an agent's attention. We show that equilibrium complexity is generally inefficient when agents face competing demands on their limited attention. Because attention allocation is hump-shaped in complexity, equilibrium complexity is distorted toward intermediate levels: well-understood goods are inefficiently complex, whereas less well-understood goods are oversimplified. We apply our model to financial institutions facing regulatory bodies and CEOs interacting with corporate divisions. This paper was accepted by *Will Cong*, finance. Funding: This project has received funding from the European Research Council (ERC) under the European Union's Horizon 2020 research and innovation program [Grant 715467].

